

PREST POS — Architecture & Policy Proposal

PROPOSAL

Order Lifecycle, Fraud Prevention & Tax Compliance (GST/VAT) Standard

DATE: September 16, 2026

DOCUMENT: Technical & Financial Compliance & Executive Management

1. Executive Summary

This policy proposal defines the standardized architecture for handling order modifications, deletions, and completion in the PREST POS platform. Allowing commercial invoices to be altered or deleted after payment collection creates severe vulnerabilities: internal cash skimming, inventory leakage, and statutory tax audit penalties. To ensure full financial compliance and fraud prevention, we propose enforcing the universal POS standard: Order Immutability Upon Payment/Completion.

2. Risk Analysis: The Threat of Post-Payment Deletion

Scenario: An employee collects ₹15,000 in cash for an order, prints the bill, and submits the system. The employee pockets the cash while the recorded revenue is deleted.

Risk Category	Impact on Business	Legal / Audit Consequences
GST / Tax Sequence Violations	Missing invoice numbers (e.g. INV-001, INV-003 with INV-002 deleted).	Automatic tax notices and heavy fines under Section 31 of CGST Act.
Digital Payment Mismatch	UPI/Card money enters merchant bank account, but bill is deleted in POS.	Direct discrepancy between bank turnover and filed GSTR-1 / GSTR-3B.
Internal Cash Skimming	Cashiers void cash bills post-settlement and pocket drawer cash.	Direct revenue loss and failure of end-of-day drawer reconciliations.
Inventory & Recipe Discrepancies	Kitchen consumes ingredients for prepared dishes, but sales vanish.	Unexplained inventory loss and distorted Food Cost (COGS) reports.

3. The Standard Solution: Order Immutability Rule

Once an order reaches Completed or has received payment in full, the order record becomes Read-Only (Immutable). No user—including Store Admins—is permitted to edit items or delete the bill. All post-payment adjustments are handled via formal Refund / Credit Note transactions.

Order Stage	Status	Allowed Operations	Security Enforcement
Active / In-Progress	Unpaid	Add/Remove items, apply discounts, update quantities, void with reason.	Editable by authorized staff.
Payment Received	Paid	Financial amounts locked. Kitchen continues prep/delivery.	Prices & line items locked.
Final Stage Reached	Completed	View details, print receipts, issue formal credit refund.	PERMANENTLY LOCKED (Read-Only).
Customer Return / Dispute	Refunded	Record Debit refund amount with mandatory reason and manager ID.	Original bill preserved intact.

4. Workstation & Admin Customization Integration

- Admin Customization Freedom: Store Admins can define custom order process steps (e.g. Accepted -> Baking -> Ready -> Delivered).
- Final Step Detection: Admins toggle [x] Mark as Final Step or the backend uses the highest sequence position.
- Workstation / KDS Role: Kitchen & packaging staff advance operational preparation steps; they have zero access to financial altering tools.
- Automatic Day-End Closure: Any paid orders left open at shift-end are automatically archived and locked during Z-Report generation.

5. Permanent Audit Trail & Log Visibility

System Location	Audit Record Tracked	Access Level
Order Timeline (/orders/[id])	Visual step-by-step timeline with exact timestamps (date & time) for every movement.	Staff & Admins
Payment Ledger (/orders/[id])	Tender received, change returned, UPI/card transaction references, and partial payments.	Cashier & Admins
Refund Tab (/orders/[id])	Audit of money returned (Debit entries), manager signatures, and return reasons.	Store Managers & Admins
Backend Convex Database	Immutable 'orderActivities' and double-entry 'orderPayments' ledger (Credit/Debit).	System Cloud Storage

Summary for Management Approval:

To protect revenue against cashier manipulation and ensure 100% tax compliance, PREST POS enforces permanent order locking post-payment. All corrections are processed via auditable Credit Notes / Refunds.